

**BUSINESS READY COMMUNITY GRANT AND LOAN PROGRAM
GRANT AGREEMENT BETWEEN THE WYOMING BUSINESS COUNCIL AND
THE CITY OF CHEYENNE**

Preamble: This Agreement is for a grant from the Wyoming Business Council to the City of Cheyenne, as described below and in the identified attachments thereto. This Grant Agreement and the attachments hereto will not create or constitute a legal or moral obligation or debt of any kind of the City of Cheyenne and will not be encumber or be chargeable against the City's assets, general reserves, general funds, or any other revenues or properties whatsoever.

1. Parties. The parties to this Grant Agreement are the State of Wyoming, by and through the Wyoming Business Council ("WBC"), whose address is 214 West 15th Street, Cheyenne, Wyoming 82002, and the City of Cheyenne, a political subdivision of the State of Wyoming ("Grantee"), whose address is 2101 O'Neil Avenue, Cheyenne, Wyoming 82001.

2. Purpose of Grant Agreement. The WBC shall provide Business Ready Community Grant and Loan Program ("BRC") Large Business Infrastructure Business Committed funds to Grantee in the amount set forth in Section 4, and Grantee shall undertake and complete materials, projects and/or services (collectively, the "Project") described in Attachments A, B, and C attached hereto. Performance by Grantee of the requirements of this Grant Agreement and compliance with all BRC program rules and regulations is a condition to Grantee's receipt of monies hereunder.

3. Term of Grant Agreement and Required Approvals. This Grant Agreement shall commence upon the date the last signature is affixed hereto. All construction services shall be completed by June 30, 2016, unless an extension is approved by WBC. This Grant Agreement shall terminate on June 30, 2019, unless otherwise amended or terminated in accordance with the terms and conditions specifically provided herein. This Grant Agreement may be extended when, in the sole discretion of the WBC, circumstances require an extension. Any extension shall be done by written amendment.

4. Payment. WBC agrees to grant monies to Grantee for performance of the Project, as invoices are submitted for work done in connection with the Project, completed in accordance with the requirements of this Agreement and the BRC program. The total payment to Grantee under this Grant Agreement shall not exceed two million dollars (\$2,000,000) ("Grant"). Payment will be made following Grantee's delivery to WBC of invoices detailing services performed in connection with the Project in a form satisfactory to WBC. Payment shall be made from WBC's BRC budget pursuant to the schedule shown on Attachment B hereto. No payment shall be made for any services performed in connection with the Project prior to the date upon which the last required signature is affixed to this Grant Agreement.

5. Responsibilities of Grantee Regarding the Project. The Project to be undertaken is described in Attachment A and C which are attached and made a part of this Grant Agreement.

6. **Responsibilities of WBC.** WBC will, at its discretion, assist in providing Grantee access to information, including without limitation providing Grantee with information concerning BRC program requirements, rules and other statutes and regulations referred to herein, and will cooperate with Grantee whenever possible. WBC shall have no obligations, other than those specifically set forth herein, regarding the Project or its performance.

7. **Special Provisions.**

A. **Budget Transfer Limitation.** Grantee agrees it will not exceed any of the line item totals listed in Attachment B by more than twenty percent (20%) without prior approval from WBC. Such changes will not result in any change in the total Project costs, or a change in the Grant amount.

B. **Default and Remedies.** In the event Grantee or any intended beneficiary of Grantee under this Grant Agreement defaults or is deficient in the performance of any term of this Grant Agreement or any requirements of the BRC program rules and regulations, then WBC shall have the right to exercise all remedies provided by law or in equity, including without limitation:

(i) Immediately terminating this Grant Agreement without further liability or obligation of WBC;

(ii) Issuing a letter of warning advising Grantee or any intended beneficiary of the deficiency and putting the Grantee or intended beneficiary on notice that additional action will be taken if the deficiency is not corrected or is repeated;

(iii) Recommending, or requesting any intended beneficiary to submit proposals for corrective actions, including the correction or removal of the causes of the deficiency;

(iv) Advising Grantee or any intended beneficiary to suspend disbursement of funds for the deficient activity;

(v) Advising any intended beneficiary to reimburse any amounts improperly expended and reprogram the use of the funds in accordance with applicable requirements, provided that the Grantee shall not be responsible for the reimbursement of funds improperly expended by any intended beneficiary;

(vi) Changing the method of payment to Grantee; and/or

(vii) Reducing, withdrawing, or adjusting the amount of the Grant.

C. **Extension of Construction.** WBC may, at its discretion, without a written amendment to this Grant Agreement, extend the construction services date if Grantee or any subgrantee provides written justification for the extension and that the completion of construction services will not exceed six (6) months from the construction services date established herein. A construction services date extension of six (6) months or less will not

change the termination date established herein. All other extensions shall be done by written amendment to this Grant Agreement.

D. Monitor Activities. The WBC shall have the right to monitor all Project related activities of the Grantee or any intended beneficiary. This shall include, but not be limited to, the right to make site inspections at any time, to bring experts and consultants on site to examine or evaluate completed work or work in progress, and to observe personnel in every phase of performance of the Project.

E. No Finder's Fees. No finder's fee, employment agency fee, broker fee or other such fee related to this Grant Agreement shall be paid by either party.

F. Non-Supplanting Certification. Grantee hereby affirms that BRC grant funds will be used to supplement existing funds, and will not replace (supplant) funds that have been appropriated for the same purpose.

G. Publicity. Any publicity given to the Project or services provided herein, including, but not limited to, notices, information, pamphlets, press releases, research, reports, signs, and similar public notices prepared by or for the Grantee, shall identify the Business Ready Community Grant and Loan Program as the funding program.

H. Reporting. Within 15 calendar days at the conclusion of each calendar quarter during the Term of this Grant Agreement, Grantee shall furnish WBC with a progress report. Each progress report shall set forth, in narrative form, the Project work accomplished under the Grant during the quarter or any other information requested by WBC. At the end of the term, Grantee shall furnish WBC with a comprehensive report of the Project and accomplishments pursuant to the Grant. Grantee shall likewise furnish WBC with a cumulative financial statement, reflecting total expenditures pursuant to this Grant Agreement upon completion of construction services.

I. Retention of Records. Grantee agrees to retain all records related to the Project which are required to be retained pursuant to this Grant Agreement or the BRC program rules and regulations for ten (10) years following WBC's date of notice to Grantee of closeout of the Grant, provided all audit requirements have been fulfilled.

8. General Provisions

A. Amendments. Any changes, modifications, revisions or amendments to this Grant Agreement which are mutually agreed upon in writing by the parties hereto shall be incorporated by written instrument, signed by all parties to this Grant Agreement.

B. Applicable Law/Venue. The construction, interpretation and enforcement of this Grant Agreement shall be governed by the laws of the State of Wyoming. The Courts of the State of Wyoming shall have jurisdiction over this Grant Agreement and the parties, and venue for any action shall be in the First Judicial District, Laramie County, Wyoming.

C. Assignment. Neither party shall assign or otherwise transfer any of the rights or delegate any of the duties set forth in this Grant Agreement without the prior written consent of the other party. Grantee shall not use this Grant Agreement, or any portion thereof, for collateral for any financial obligation, without the prior written permission of WBC.

Certain duties and responsibilities of the Grantee may be delegated to Cheyenne LEADS, whose address is 121 West 15th Street, Suite 304, Cheyenne, Wyoming 82001, pursuant to the Project Development and Administration Agreement shown in Attachment C. Those duties include, but are not limited to, administration and management of the Project funded by this Grant. Neither party shall assign or otherwise transfer any of the rights or delegate any of the duties set forth in this Grant Agreement without the prior written consent of the other party. Grantee shall not use this Grant Agreement, or any portion thereof, for collateral for any financial obligation, without the prior written permission of WBC. Any assignment to Cheyenne LEADS as permitted by the preceding sentence will not relieve Grantee of its responsibility to perform or cause to be performed all duties under this Grant.

D. Assumption of Risk. The Grantee shall assume the risk of any loss of state funding, due to the Grantee's failure to comply with state requirements. The WBC shall notify the Grantee of any state determination of noncompliance. The duties, assumptions, and obligations agreed to by Grantee under this Grant Agreement are not to be construed to impose any obligation or duty, legal or moral, on Grantee with respect to the recapture of grant funds as set forth in Attachment A to this Grant Agreement.

E. Audit/Access to Records. The WBC and any of its representatives shall have access to any books, documents, papers, and records of the Grantee that are pertinent to this Grant Agreement.

F. Availability of Funds. Each payment obligation of the WBC is conditioned upon the availability of government funds that are appropriated or allocated for the payment of this obligation. If funds are not allocated and available for the continuance of the services performed by the Grantee, the Grant may be terminated by the WBC at the end of the period for which the funds are available. The WBC shall notify the Grantee at the earliest possible time of the services that will or may be affected by a shortage of funds. No penalty shall accrue to the WBC in the event this provision is exercised, and the WBC shall not be obligated or liable for any future payments due or for any damages as a result of termination under this section. This provision shall not be construed to permit the WBC to terminate this Grant Agreement to acquire similar services from another party.

G. Award of Related Grant Agreements. The WBC may undertake or award supplemental or successor grant agreements for work related to this Grant Agreement. The Grantee shall cooperate fully with other grantees and the WBC in all such cases.

H. Compliance with Laws. The Grantee shall keep informed of and comply with all applicable federal, state and local laws and regulations in the performance of this Grant Agreement.

I. Entirety of Grant Agreement. This Grant Agreement consisting of eight (8) pages, Attachment A, consisting of one (2) pages, and Attachment B, consisting of one (1) page, and Attachment C, consisting of seventeen (17) pages, and Attachment D consisting of six (6) pages, represents the entire and integrated Grant Agreement between the parties and supersedes all prior negotiations, representations, and agreements, whether written or oral.

J. Extensions. Nothing in this Grant Agreement shall be interpreted or deemed to create an expectation that this Grant Agreement will be extended beyond the term described herein. This Grant Agreement may be renewed by agreement of both parties in writing, provided that there is no right or expectation of renewal or extension beyond the Term, and any renewal or extension will be determined at the discretion of WBC and subject to any necessary WBC approval. Any agreement to extend this Grant Agreement shall include, but shall not be limited to: an unambiguous identification of the Grant Agreement being extended; the term of the extension; a statement that all terms and conditions of the original Grant Agreement shall, unless explicitly delineated in the exception, remain as they were in the original Grant Agreement; and, if the duties of either party will be different during the extension than they were under the original Grant Agreement, a detailed description of those duties.

K. Indemnification. Each Party to this Grant Agreement shall assume the risk of any liability arising from its own conduct. Neither party agrees to insure, defend, or indemnify the other.

L. Independent Contractor. Grantee shall function as an independent contractor for the purposes of this Grant Agreement, and shall not be considered an employee of WBC for any purpose. Grantee shall assume sole responsibility for any debts or liabilities that may be incurred by the Grantee in fulfilling the terms of this Grant Agreement, and shall be solely responsible for the payment of all federal, state and local taxes, which may accrue because of this Grant Agreement. Nothing in this Grant Agreement shall be interpreted as authorizing Grantee or its agents and/or employees to act as an agent or representative for or on behalf of WBC, or to incur any obligation of any kind on the behalf of WBC. Grantee agrees that no health/hospitalization benefits, workers' compensation and/or similar benefits available to WBC employees will inure to the benefit of Grantee or Grantee's agents and/or employees as a result of this Grant Agreement.

M. Kickbacks. The Grantee certifies and warrants that no gratuities, kickbacks or contingency fees were paid in connection with this Grant Agreement, nor were any fees, commissions, gifts, or other considerations made contingent upon the award of this Grant Agreement. If the Grantee breaches or violates this warranty, the WBC may, at its discretion, terminate this Grant Agreement without liability to the WBC, or deduct from the Grant Agreement or consideration, or otherwise recover, the full amount of any commission, percentage, brokerage, or contingency fee.

N. Nondiscrimination. The Grantee shall comply with the Civil Rights Act of 1964, the Wyoming Fair Employment Practices Act (Wyo. Stat. §27-9-105, *et seq.*), the Americans with Disabilities Act, (ADA), 42 U.S.C. §12101, *et seq.*, and the Age Discrimination Act of 1975 and/or any properly promulgated rules and regulations related thereto and shall not discriminate

against any individual on the grounds of age, sex, color, race, religion, origin, or disability in connection with the performance under this Grant Agreement.

O. Notices. All notices arising out of, or from, the provisions of this Grant Agreement shall be in writing and given to the parties at the address provided under this Grant Agreement, either by regular U.S. mail or delivery in person. Delivery shall be deemed to have occurred three (3) days following deposit in the U.S. mail or upon delivery in person.

P. Ownership of Documents/Work Product/Materials. All documents, records, field notes, data samples, specimens, and materials of any kind resulting from performance of this Grant Agreement are at all times the property of the WBC.

Q. Prior Approval. This Grant Agreement shall not be binding upon either party, no services shall be performed under the terms of this Grant Agreement, and the Wyoming State Auditor shall not draw warrants for payment on this Grant Agreement, until this Grant Agreement has been reduced to writing and approved as to form by the Office of the Attorney General.

R. Severability. Should any portion of this Grant Agreement be judicially determined to be illegal or unenforceable, the remainder of this Grant Agreement shall continue in full force and effect, and either party may renegotiate the terms affected by the severance.

S. Sovereign Immunity. The State of Wyoming and WBC do not waive sovereign immunity by entering into this Agreement and the Grantee does not waive governmental immunity, and each specifically retains all immunities and defenses available to them as sovereigns or governmental entities pursuant to Wyo. Stat. § 1-39-101, *et seq.*, and all other applicable law. Designations of venue, choice of law, enforcement actions, and similar provisions shall not be construed as a waiver of sovereign immunity. The parties agree that any ambiguity in this Contract shall not be strictly construed, either against or for either party, except that any ambiguity as to sovereign immunity shall be construed in favor of sovereign immunity.

T. Taxes. Grantee shall pay all taxes and other such amounts required by federal, state and local law, including but not limited to social security taxes, workers' compensation, unemployment insurance and sales taxes in connection with performance of the Project and this Grant Agreement.

U. Termination of Grant Agreement. This Grant Agreement may be terminated, without cause, by either party upon thirty (30) days written notice. The WBC may terminate this Grant Agreement immediately for cause if the Grantee fails to perform in accordance with the terms and conditions of this Grant Agreement. Should the Grantee fail to perform in a manner consistent with the terms and conditions set forth in this Grant Agreement, payment under this Grant Agreement may be withheld until such time as the Grantee performs its duties and responsibilities.

V. Third Party Beneficiary Rights. The parties do not intend to create in any other individual or entity the status of third party beneficiary, and this Grant Agreement shall not be

construed so as to create such status. The rights, duties and obligations contained in this Grant Agreement shall operate only between the parties to this Grant Agreement, and shall inure solely to the benefit of the parties to this Grant Agreement. The provisions of this Grant Agreement are intended only to assist the parties in determining and performing their obligations under this Grant Agreement.

W. Time is of the Essence. Time is of the essence in the performance by Grantee all provisions of the Grant Agreement.

X. Titles Not Controlling. Titles of sections are for reference only, and shall not be used to construe the language in this Grant Agreement.

Y. Unused/Misused Funds. The WBC shall be entitled to recover from the Grantee any full or partial payment made under this Grant Agreement for: 1) any payments used for purposes not authorized, or performed outside this Grant Agreement, 2) any payments for services the Grantee is unable to provide, 3) any payments for services the Grantee did not provide but was required to provide under the terms of this Grant Agreement.

Z. Waiver. The waiver of any breach of any term or condition in this Grant Agreement shall not be deemed a waiver of any prior or subsequent breach.

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9. Signatures. By signing this Grant Agreement, the parties represent and warrant that they have read and understood it, that they agree to be bound by the terms of the Grant Agreement, that they have the authority to sign it, and that they have received a signed and dated copy of the Grant Agreement.

The effective date of this Grant Agreement is the date of the signature last affixed to this page.

WYOMING BUSINESS COUNCIL

Mark Willis, Interim Chief Executive Officer

Date

Molly Spangler, Director
Investment Ready Communities

Date

CITY OF CHEYENNE

Richard L. Kaysen, Mayor
City of Cheyenne
(SEAL)

Date

Attest:

Carol Intlekofer, City Clerk

Date

ATTORNEY GENERAL'S OFFICE APPROVAL AS TO FORM

S. Jane Caton
Senior Assistant Attorney General

Date

Acknowledgement by Granite Peak

**ATTACHMENT A TO
BUSINESS READY COMMUNITY GRANT AND LOAN PROGRAM
GRANT AGREEMENT BETWEEN THE WYOMING BUSINESS COUNCIL AND
THE CITY OF CHEYENNE**

INTEREST AND REVENUE RECAPTURE PLAN

1. The City of Cheyenne will receive a loan of \$3,000,000 and a grant of \$2,000,000 from the Wyoming Business Council (WBC”) to facilitate the Swan Ranch Rail Project.

2. The City of Cheyenne will, in turn, and pursuant to various agreements between the State of Wyoming, the City of Cheyenne, and Granite Peak Development, and its related entities, transfer the \$3,000,000 loan proceeds and the \$2,000,000 grant proceeds to Granite Peak Development to construct the Swan Ranch Rail Project.

3. The project is more particularly described in the BRC application received by the WBC on December 2, 2013.

4. Commencing on the one (1) year anniversary of Substantial Completion of the Swan Ranch Rail Project as that term is defined in the Amended and Restated Project Development and Administrative Agreement executed between the State of Wyoming and the City of Cheyenne, Granite Peak shall, in full and complete satisfaction of all duties and obligations imposed on Granite Peak with regard to the \$3,000,000 loan and the \$2,000,000 grant involved with the Swan Ranch Rail Project, begin making payments to the City of Cheyenne pursuant to a Non-Negotiable Promissory Note executed between the City of Cheyenne and Granite Peak.

5. For the first three (3) years of this Note, Granite Peak shall not make any principal payments on this Note and shall pay a total of \$50,000 interest per year on the Note payable in equal annual installments. Commencing in year four (4) of the Note, Granite Peak shall pay yearly installments of \$743,141.00. All payments under this Note shall be due by the fifth (5th) day of any month that a payment is due and shall be considered delinquent if not paid in full by the fifteenth (15th) day of any given month.

6. The City of Cheyenne shall retain a portion of all amounts paid by Granite Peak in any year as Revenue Recapture. The City of Cheyenne shall transfer the remainder of all funds received from Granite Peak in any payment year to the WBC to repay the \$3,000,000 loan. The amount of funds to be retained by the City as Revenue Recapture in any given payment year is set forth in Table 1 to this document. The City of Cheyenne is eligible to receive a total of \$175,994 in economic development revenue recapture on this project. All funds retained by the City of Cheyenne as Revenue Recapture shall be transferred to Cheyenne Leads to be used by Cheyenne Leads and the City of Cheyenne for appropriate economic development initiatives including the purchase of land or buildings, business park enhancement including landscaping or signage, and investment in infrastructure such as roads, water, sewer, fiber, optics, and power.

7. Grantee will receive the sum of \$2,000,000 of the Business Ready Community (BRC) program funds. Grantee will, in turn, use the funds to construct a portion of the 20,200 feet of rail infrastructure in the Swan Ranch Industrial Park. This project will not only facilitate the expansion of Searing Industries in Wyoming, but will also provide the necessary connecting rail between the Burlington Northern Santa Fe Railroad (BNSF) and Union Pacific Railroad (UPRR) mainlines. The city will own the rail, ties, spikes, turnouts, and all other components of the rail that connects the existing rail to the loop track. The city will lease the rail to Granite Peak, developers of the Swan Ranch Industrial Park, for ten (10) years. Granite Peak will provide the City of Cheyenne a land easement for the rail property. Granite Peak will be responsible for all maintenance of the rail infrastructure.

8. Grantee will be required to provide a letter from a qualified engineer certifying the construction completion of the project and that all required construction standards were adhered to during the construction of this project. Grantee will be required to provide information as requested by the State of Wyoming, by and through the WBC, about lease arrangements, job creation, additional investments, marketing, business recruitment, and business development efforts. All promotional and marketing information and materials created for this project will be required to reference the WBC as a funding partner. Granite Peak Development, Limited Partnership shall provide all information necessary to Grantee to facilitate Grantee's compliance with these requirements.

Table 1

Year	Annual Lease Payment to City	Recapture Funds Generated for Cheyenne LEADS
1	\$50,000	\$25,000
2	\$50,000	\$25,000
3	\$50,000	\$25,000
4	\$743,141	\$25,000
5	\$743,141	\$21,535
6	\$743,141	\$18,034
7	\$743,141	\$14,499
8	\$743,141	\$10,928
9	\$743,141	\$7,321
10	\$743,141	\$3,679
Total		\$175,994

**ATTACHMENT B TO
BUSINESS READY COMMUNITY GRANT AND LOAN PROGRAM
GRANT AGREEMENT BETWEEN THE WYOMING BUSINESS COUNCIL AND
THE CITY OF CHEYENNE**

Projected Grant and Loan Expenditure Schedule for Cheyenne - Swan Ranch Rail Connection				
DESCRIPTION	BRC	MATCH		TOTAL
		BRC Loan	Cash (Granite Peak)	
Non Construction Costs	\$ 126,360	\$ -	\$ 35,640	\$ 162,000
Construction Costs	\$ 1,873,640	\$ 3,000,000	\$ 1,382,731	\$ 6,256,371
Total Project Cost	\$ 2,000,000	\$ 3,000,000	\$ 1,418,371	\$ 6,418,371

For the above Projected Grant Expenditure Schedule "Non Construction Costs" include: appraisal, architectural, engineering, and project inspection fees; "Construction Costs" include: site work, materials, labor, utilities, and contingencies.

Before funds can be drawn down the Grantee must provide the WBC with a copy of the:

- Executed loan agreement between the Wyoming Business Council and the City of Cheyenne for \$3,000,000
- Executed track lease agreement between city and Cheyenne Logistics Hub, LLC; and
- Easement demonstrating public ownership

This grant is incrementally funded as costs are incurred according to the above Projected Grant Expenditure Schedule. The WBC will release funds only after payment vouchers or invoices approved by the Grantee are submitted to the WBC. After receipt of cash requests and billing documentation, the WBC will pay the amounts of invoices at seventy-eight percent (78%). Verification of all in-kind contributions must be submitted to the WBC.

If actual costs of the project are more than the available funds indicated in Attachment B, the Grantee will have no obligation to pay for any additional cost of the project.

If there is additional funding for the project, the Grantee must provide the WBC with all necessary information regarding the funding. The BRC loan agreement is a separate document.

**ATTACHMENT C TO
BUSINESS READY COMMUNITY GRANT AND LOAN PROGRAM
GRANT AGREEMENT BETWEEN THE WYOMING BUSINESS COUNCIL AND
THE CITY OF CHEYENNE**

Amended and Restated Project Development and Administration Agreement